NORTHSTAR CIVIC INSTITUTE

Community Equity Lab

Auto Lending Transparency and First-Time Buyer Protections in Michigan

A Nonpartisan Policy Research Brief on Consumer Finance Disclosure, Equity, and Young Buyer Vulnerability

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Executive Summary

An automobile is the largest or second-largest purchase most Americans make, yet the auto financing process remains one of the least transparent consumer transactions in the economy. First-time buyers and young consumers (under 25) face a particular information asymmetry: they are the least experienced negotiators in the dealership, the most likely to rely on dealer-arranged financing, and the most vulnerable to practices including interest rate markups, add-on product packing, and conditional delivery ("yo-yo") sales.

This brief examines the auto lending landscape as it affects young and first-time buyers, with a focus on Michigan. It surveys the predatory practices documented by federal agencies and consumer advocacy organizations, analyzes the regulatory gaps that enable them, reviews the emerging state-level response, and identifies policy dimensions relevant to a potential disclosure-based intervention. It does not advocate for or against specific legislation.

> *Key Finding: Gen Z borrowers are more likely than any other generation to use dealer-arranged financing, the channel most associated with interest rate markups and add-on product packing. Average APRs for subprime borrowers hover around 20%, and deep subprime auto debt grew 8.7% year-over-year as of mid-2025, the largest increase of any credit tier.*

1. The Auto Financing Landscape

1.1 Market Scale and Structure

Between January and June 2025, over 12.7 million auto loans were originated in the United States, totaling $381 billion. Banks hold the largest share of total auto loan debt at $567 billion, but dealer finance companies are the fastest-growing segment, with a 21.7% increase in auto debt year-over-year. The average consumer finances approximately $30,000 per loan.

The financing channel matters significantly. Consumers who arrange their own financing through a bank or credit union enter the dealership with a benchmark rate that the dealer must beat. Consumers who rely on dealer-arranged financing, by contrast, are subject to the dealer’s discretion in setting the interest rate. Equifax’s 2025 Market Pulse data shows that Gen Z buyers are more likely to use dealer finance and monoline lenders than any other generation, making them disproportionately exposed to the channel where predatory practices are most concentrated.

1.2 The Subprime Dimension

Subprime and deep subprime loans (extended to borrowers with lower credit scores) account for approximately 22.1% of all auto loan debt. Dealer finance and monoline lenders are heavily concentrated in this segment, with over 60% of their loan portfolios classified as subprime. The average APR for borrowers with credit scores below 600 hovers around 20%, according to Experian's State of the Automotive Finance Market data. Monoline lenders carry the highest delinquency rate at 16.6% of borrowers 60+ days past due, compared to 1.6% for banks.

First-time buyers frequently fall into subprime categories not because of poor financial behavior but because of thin credit files. A young adult purchasing their first vehicle often has no established credit history, resulting in a low or nonexistent credit score that places them in the same risk pool as borrowers with histories of default. The financing terms they receive may not reflect their actual repayment capacity.

2. Documented Predatory Practices

Federal agencies, consumer advocacy organizations, and investigative reporting have documented several recurring practices that disproportionately affect first-time and young buyers.

2.1 Dealer Rate Markups

When a consumer obtains financing through a dealership, the dealer acts as an intermediary between the buyer and the lender. The lender approves the buyer at a "buy rate," then permits the dealer to increase that rate at the dealer's discretion. The difference is retained by the dealer as a kickback, known as a "dealer reserve." The Center for Responsible Lending estimates that this practice adds $25.8 billion in hidden interest across the life of auto loans nationally. The buyer typically has no way of knowing their approved buy rate or the size of the markup.

2.2 Add-On Product Packing

Dealers inflate the overall loan amount by bundling optional products into the financing, often without clear disclosure that these products are optional. Common add-ons include GAP insurance, extended warranties, vehicle service contracts, credit life and disability insurance, rust proofing, theft deterrent packages, and paint protection. These products are typically sold at significant markups over their actual cost. A Bankrate investigation found cases where over $4,000 in add-on products were rolled into a single loan, increasing both monthly payments and total repayment without the buyer fully understanding what had been added.

2.3 Yo-Yo Sales (Conditional Delivery)

In a yo-yo sale, the dealer allows the buyer to take the vehicle home under what appears to be a finalized agreement. Days or weeks later, the dealer contacts the buyer to claim the financing "fell through" and demands renegotiation at less favorable terms: a higher interest rate, a larger down payment, or a co-signer. By this point, the buyer's trade-in vehicle may already have been sold. This practice leverages the buyer's attachment to the vehicle and the practical difficulty of unwinding the transaction.

2.4 Buy Here, Pay Here Operations

"Buy Here, Pay Here" (BHPH) dealerships both sell and finance vehicles in-house, typically to borrowers with poor or no credit history. The National Consumer Law Center has documented that the BHPH business model depends on high default and repossession rates, effectively churning the same vehicles through multiple buyers. These operations frequently require disproportionate down payments, pack loans with fees, and include mandatory arbitration clauses that waive the buyer's right to sue.

3. Equity Dimensions

The impact of predatory auto lending falls disproportionately on communities of color and low-income households. The National Consumer Law Center's 2025 report on installment lending found that use of high-cost non-bank installment loans increased between 2021 and 2022 only for Black and Latino/Hispanic households, with usage nearly tripling for Black households. High-cost lenders have historically targeted these communities.

In Michigan, where reliable personal transportation is essential in a state with limited public transit outside of Southeast Michigan, the consequences of predatory auto lending extend beyond financial harm. A repossession or default can cascade into job loss (inability to commute), housing instability (damaged credit affecting rental applications), and deeper poverty. For young adults entering the workforce, an unfavorable first auto loan can establish a cycle of debt that compounds over years.

> *The Consumer Federation of America’s 2025 report, "Driven to Default," identified rising auto loan delinquencies as an economy-wide risk, with first-time and young buyers among the populations most exposed to default cascades driven by predatory financing terms rather than inability to afford a vehicle at fair market rates.*

4. Michigan’s Regulatory Landscape

Michigan law provides baseline consumer protections through the Michigan Consumer Protection Act (MCL 445.901 et seq.) and the Motor Vehicle Sales Finance Act (MCL 492.101 et seq.), which governs installment sales of motor vehicles. However, the state does not currently require standardized disclosure of the dealer markup over buy rate, the true cost of add-on products relative to retail availability, a comparison of dealer-arranged financing terms against benchmark rates from banks and credit unions, or a cooling-off period for financed vehicle purchases.

Federal protections under the Truth in Lending Act (TILA) require disclosure of the APR and total finance charge, but these disclosures are embedded in complex closing documents that first-time buyers may not effectively parse. The Federal Trade Commission’s 2022 Combating Auto Retail Scams (CARS) Rule was designed to address some of these practices but has faced legal challenge and implementation delays.

Michigan’s personal finance graduation requirement (MCL 380.1278a) mandates that high school students receive instruction in financial literacy, but this curriculum does not specifically address auto financing, dealer negotiation tactics, or the specific risks facing first-time vehicle buyers.

5. Emerging State-Level Responses

Several states have begun addressing auto lending transparency through targeted legislation. The approaches vary, but common elements include mandatory disclosure of dealer markup over buy rate, prohibitions on certain conditional delivery practices, add-on product disclosure requirements, and cooling-off or cancellation rights for financed purchases.

State	Key Auto Lending Consumer Protections
Illinois	Requires dealers to disclose total cost of add-on products and whether products are optional; prohibits yo-yo sales after 10 days
California	Caps dealer documentation fees; requires separate disclosure and signature for each add-on product; enacted CARS-type protections at state level
Colorado	Requires disclosure of buy rate on dealer-financed transactions; prohibits conditioning sale on purchase of add-on products
New York	Proposed legislation requiring standardized comparison disclosure showing dealer rate vs. credit union benchmark rate for young buyers
Kentucky	Abolished high-cost auto title loans (2024); strengthened consumer protections against predatory secured lending

Table 1. Selected State Auto Lending Consumer Protections. Sources: NCLC (2025); state statutes; legislative tracking.

6. Policy Recommendations

The evidence presented in this brief supports the following policy recommendations for improving auto lending transparency for first-time and young buyers in Michigan. Gen Z borrowers are more likely than any other generation to use dealer-arranged financing, the channel most associated with predatory practices. Average subprime APRs hover around 20%, and deep subprime auto debt grew 8.7% year-over-year as of mid-2025.

Recommendation 1: Standardized Disclosure at Point of Sale

A one-page, standardized disclosure document provided to any buyer under 25 or any first-time financed vehicle purchase could include: the APR comparison (dealer rate vs. approved buy rate vs. average credit union rate for equivalent credit profile), total cost of financing including all fees and add-ons, an itemized list of all add-on products with notation that each is optional, and the total cost of the vehicle compared to independent market value (e.g., Kelley Blue Book). The design of such a document determines its effectiveness. Research on financial disclosure suggests that simple, comparative formats outperform dense, legalistic text.

Recommendation 2: Add-On Product Transparency

Requiring separate opt-in signatures for each add-on product, rather than allowing bundled presentation in the financing package, would make it more difficult to pack products into loans without informed consent. Requiring disclosure of the retail price of each product (what the buyer would pay if purchased independently) alongside the dealer's price provides a basis for informed comparison.

Recommendation 3: Dealer Markup Disclosure

Requiring disclosure of the difference between the lender's approved buy rate and the rate presented to the consumer would make the dealer reserve visible. This is the single highest-impact transparency measure identified in the consumer finance literature, as it addresses the information asymmetry that makes dealer markups possible.

Recommendation 4: Cooling-Off Period for Conditional Delivery

A statutory right to return a financed vehicle within a defined period (e.g., 72 hours) if the final financing terms differ from the terms presented at the time of sale would address yo-yo sales directly. Several states have enacted or proposed similar protections.

Recommendation 5: Financial Literacy Integration

Michigan's existing personal finance graduation requirement provides a natural vehicle for integrating auto financing literacy into the curriculum. A targeted module covering how auto loans work, what dealer markups are, how to compare financing offers, and what add-on products cost could reach young consumers before their first dealership visit.

7. Conclusion

The auto financing market operates with significant information asymmetry, and first-time and young buyers bear a disproportionate share of the resulting harm. The practices documented in this brief, including dealer rate markups, add-on product packing, conditional delivery, and BHPH lending, are not isolated incidents but structural features of a market that profits from information asymmetry. The equity dimensions are significant: communities of color and low-income households are overrepresented among both subprime borrowers and victims of predatory practices.

Michigan's existing consumer protection framework does not specifically address the transparency gaps that enable these practices in auto lending. As other states move toward targeted disclosure requirements and first-time buyer protections, Michigan's policymakers have an opportunity to examine whether the current framework adequately serves the state's youngest and most vulnerable consumers.

The Northstar Civic Institute will continue to monitor developments in auto lending policy and publish updated research as needed. Inquiries regarding this brief may be directed to the Community Equity Lab.

References and Sources

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10. Michigan Motor Vehicle Sales Finance Act (MCL 492.101 et seq.).

11. Michigan personal finance graduation requirement (MCL 380.1278a).

12. Truth in Lending Act (TILA), 15 U.S.C. §1601 et seq.

13. Federal Reserve Bank of New York. Auto loan application denial rate data. October 2025.

About the Northstar Civic Institute

The Northstar Civic Institute (NCI) is a nonpartisan 501(c)(3) policy research organization based in Michigan. NCI’s Community Equity Lab conducts applied research on governance, equity, and public policy to inform evidence-based decision-making. NCI does not engage in legislative advocacy. This brief is published for educational and informational purposes and does not represent an endorsement of any specific policy position or legislative proposal.

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